Purchasing Power Parities and International Comparison Program (ICP 2005)

Whether one looks at human development in terms of economic growth, social progress, globalization or poverty reduction, it is vital to have high quality and internationally comparable statistical measures to help inform policy decisions and monitor progress.

The International Comparison Program (ICP) has been established as a system for comparing GDP and its components, converted to a single currency using Purchasing Power Parities (PPP), eliminating shortcomings of the use of market exchange rates. PPP data are also useful in poverty analysis, in particular for estimating poverty based on internationally comparable poverty lines.

ICP 2005 was the first of its kind which Maldives participated, pricing around 160 items from the global basket of goods from 5 major regions of the country, Male', Hdh. Kulhudhuffushi, Gdh. Thinadhoo, S. Hithadhoo and Gn. Fuvamulah on a quarterly basis. A follow-up updating of the 2005 PPP's is currently in progress while another round of ICP global initiative is planned for the year 2011 which Maldives has committed its participation.

Why PPP's? Why not exchange rates?

Exchange rates show the currencies worth in terms of international financial transactions, but it fails to indicate the intrinsic worth of currencies which in return fails to reflect the actual purchasing power of currencies in the respective economies. However, PPP's adjust for differences in price levels between economies.

What is PPP?

PPP is the number of currency units of another country which is required to purchase the amount of goods and services equivalent to what can be bought with one unit of currency in the base country. For example, a PPP between 2 countries, Maldives and Singapore,

$$\frac{\text{x Rf to purchase 1 bag of cement in Maldives}}{\text{x Sin\$ to purchase 1 bag of cement in Singapore}}$$

Interpreting PPP's

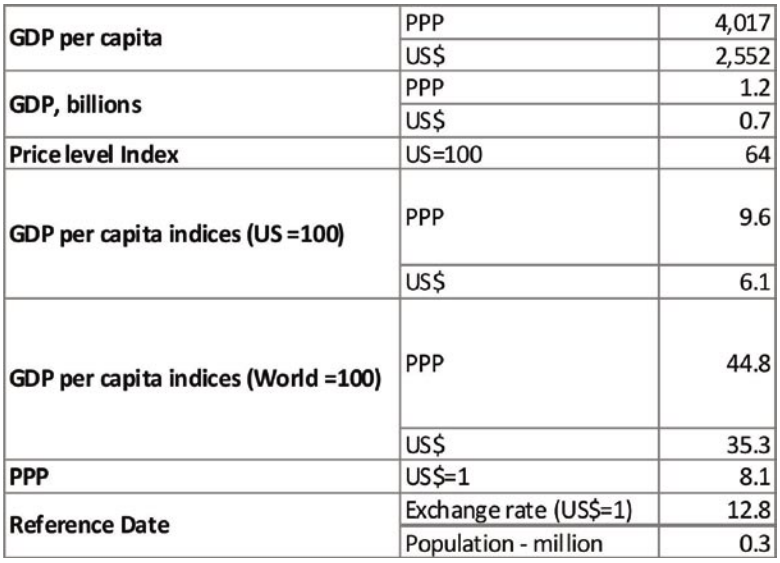
The easiest example of interpreting PPP's is comparing the PPP for Big Mac, or the Big Mac Index. If a Big Mac costs US$4.00 in USA and Euro 4.80 in France, then the PPP for Big Mac from the French viewpoint is 0.83 US dollars to euro, and from the American viewpoint it is 1.20 euros to US dollars.

This means that for every euro spent on Big Macs in France, it would be necessary to spend 0.83 US dollars in the US and conversely for every US dollar spent on Big Mac in the US it would be necessary to spend 1.20 euros in France to obtain the same quality and quantity of Big Macs.

Uses of PPP's

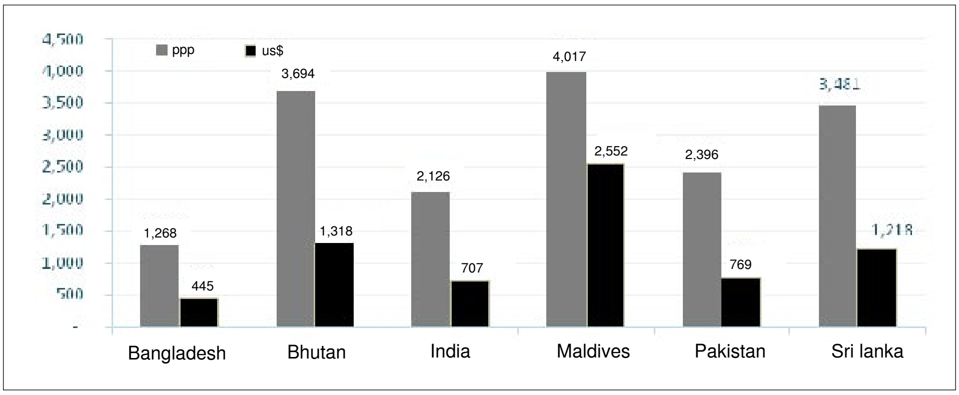
PPP's are the preferred means of converting the value of GDP and its components to a common currency. PPP's also enable cross country comparisons of sizeable economics, average consumption levels, poverty rates, productivity and the use of resources.

2005 ICP global results – Maldives



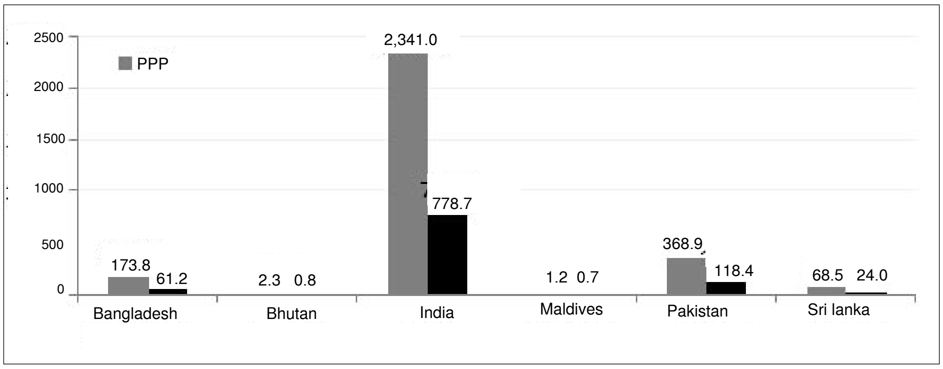
GDP per capita	PPP	4,017
	US$	2,552
GDP, billions	PPP	1.2
	US$	0.7
Price level Index	US=100	64
GDP per capita indices (US =100)	PPP	9.6
	US$	6.1
GDP per capita indices (World =100)	PPP	44.8
	US$	35.3
PPP	US$=1	8.1
Reference Date	Exchange rate (US$=1)	12.8
	Population - million	0.3

GDP per capita, compared in PPP's and US$



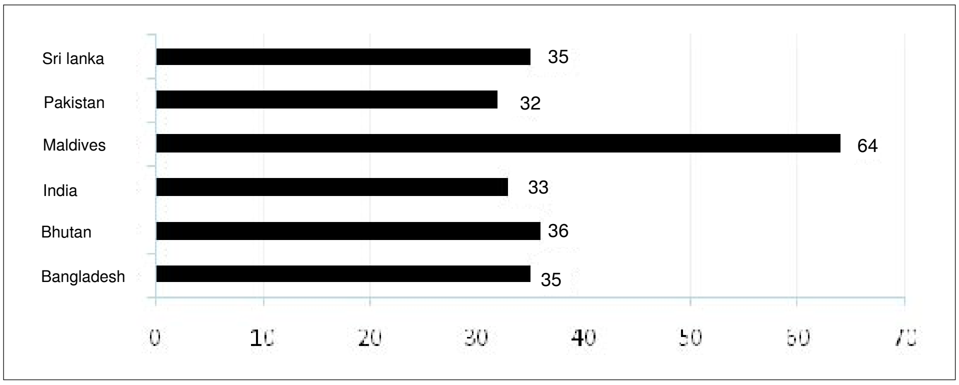
Maldives had the highest per capita GDP among the Asian countries as shown in this graph. Per capita GDP in PPP terms is 57% higher than that in US$ terms

GDP (billions), compared in PPP's and US$



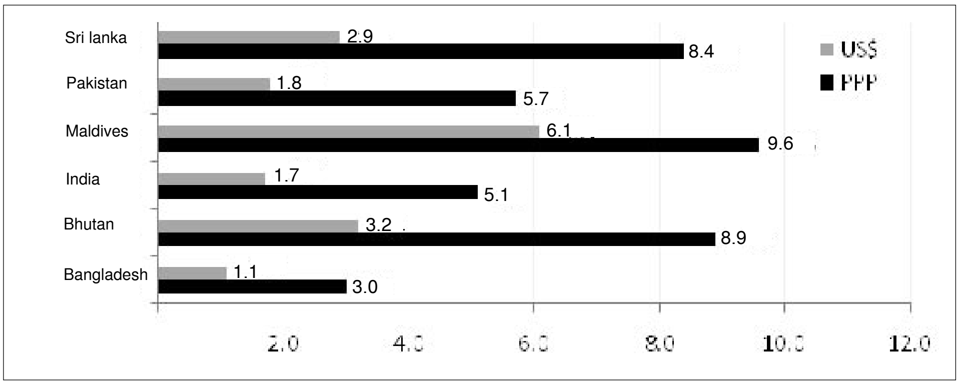
Maldives has the lowest GDP while India with its large population has the highest GDP among the countries shown here.

Price level Index (US$=100)

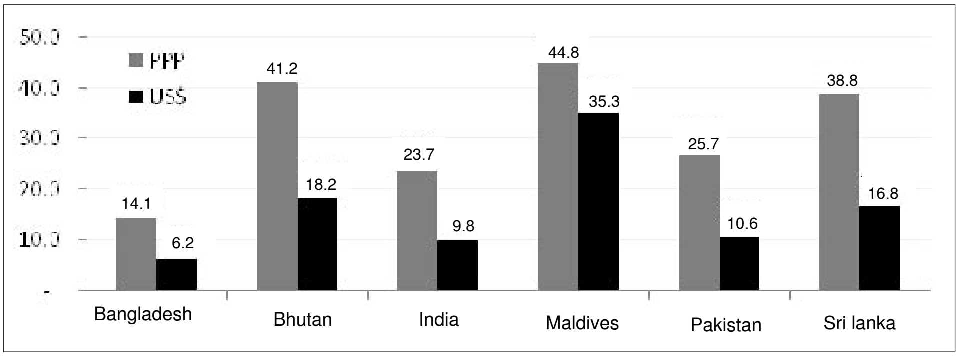


Price level index for the country is the ratio of the total PPP to the exchange rate. A PLI that is greater than 100 shows an economy that is more expensive than the base economy. Maldives is the most expensive economy compared to the other counties shown here.

GDP per capita indices (world=100)

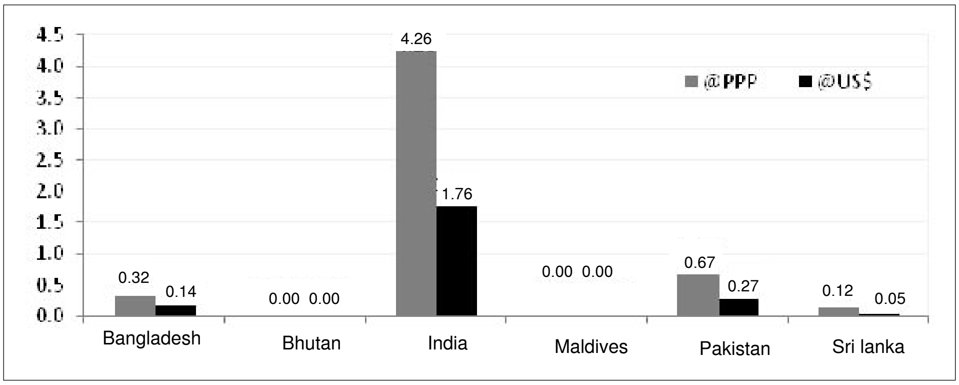


GDP per capita indices (world=100)



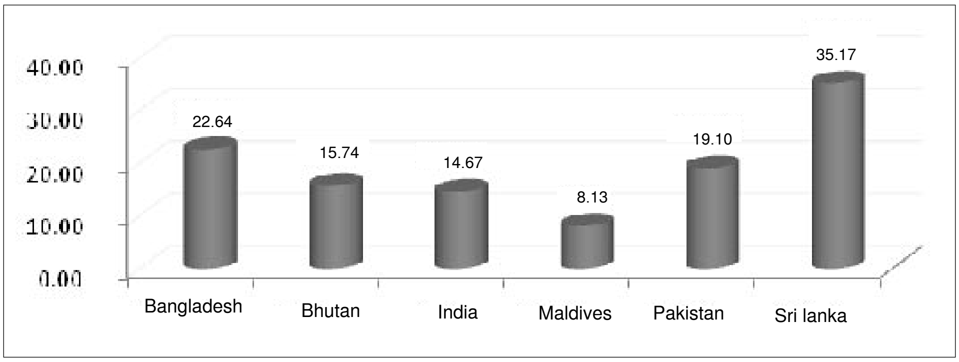
If a person in “world” gets 100 then a person in Maldives gets close to 45.

Shares (world=100)



GDP shares of the Maldives are insignificant in the total GDP of the world. India, with its large population shares about 4% of the world GDP.

PPP (US$=1)



For 1 US$, the PPP for Maldives is 8.13 Rf, and if exchange rates 12.85Rf is used, to bench GDP, then the value is under valued.

Reference; http://siteresources.worldbank.org/ICPINT/Resources/icp-final.pdf